competitiveness of Indian exports, has depreciated by about 11 per cent since mid-2011.

India's **external debt** stock stood at US$ 365.3 billion at end-September 2012, recording an increase of about US$ 20.0 billion (5.8 per cent) over the end-March 2012 level. This increase has been *primarily on account* of higher NRI deposits, short-term debt, and ECBs. These three components together contributed 94.7 per cent of the total increase in the country's external debt.

The *maturity profile* of India's external debt continues to be dominated by long-term loans. At end-September 2012, long-term external debt at US$ 280.8 billion, accounted for 76.9 per cent of total external debt, while the remaining 23.1 per cent was short-term debt. **Government (sovereign) external debt** stood at US$ 81.5 billion, while non-government debt amounted to US$ 283.9 billion at end-September 2012.

India's external debt has remained within manageable limits as indicated by the **external debt-GDP ratio** of 19.7 per cent and debt service ratio of 6.0 per cent in 2011-12. But the trends in size, source, maturity, and hedging of external debt bear careful monitoring. In particular, regulators will have to be careful about the tendency of some Indian corporations or entities without substantial foreign exchange earnings to leave foreign exchange borrowings un-hedged so as to get 'cheap' foreign financing. Low un-hedged foreign interest rates can be deceptively enticing, leaving the borrower exposed to significantly higher repayments if the rupee depreciates unexpectedly.

In this context, ***regulators have to maintain a balance*** between what is of public importance and what is prudential these are –

i. Areas of public importance, such as infrastructure deserve substantial support. However, these areas of activity may also be risky.

ii. Support should be given by de-risking the areas (policy to speed up infrastructure projects and ease their completion), through financial development (creating new financing institutions, attracting new investors), or fiscal means (interest subventions, tax breaks) but not by relaxing prudential norms (lower capital requirements, allowing